The bottom line was that the scheme was a measured risk, with a probability that the RBI would lose money, a certainty that the bankers would make money, but also a reasonable chance that the country would be significantly better off. Policy making is about deciding in the face of uncertainty, after weighing the alternatives as best as one can. Having obtained the concurrence of the finance ministry, the RBI Governor had to decide. I chose to go ahead with it.

The FCNR scheme drew in $26 billion, more than any of us anticipated. But, equally important, confidence picked up, the rupee continued strengthening beyond when the money came in, partly because the global investor mood as well as Indian electoral projections also changed, and we covered our forward swaps cheaply. The rupee became one of the most stable emerging market currencies for a while.

Of course, in hindsight it seems like it was the obvious thing to do because it worked. The reality is we will never know for certain whether it was the key! Perhaps it was the other elements of the package such as the determination we expressed on controlling inflation, perhaps it was everything together. Autobiographies are always written as if the author had it all mapped out with perfect foresight, ignoring the risks and uncertainties at that time. This misleads, as much as those beautiful photographs of a past holiday abstract from the heat, the mosquitoes, and the lack of connectivity. Policy making invariably involves taking measured risks in the face of uncertainty, for one has neither a prior template nor the luxury of indecision.

As an aside, that initial speech also had some unintended collateral effects. I became a ‘rock star’ central bank governor, the James Bond or Ranbir Kapoor of central banking, depending on which paper you read – this was an image I tried hard to downplay because not only was it far from the prosaic reality, but also I wanted the focus to be on the RBI’s innovative but reliable work. Perhaps the article that did the most to ensure I would have a fan following was a send-up of the incoming governor by the courageous though risqué columnist Shobhaa Dé. Years into my term, I finally met her and her charming daughter at an official party, and I was delighted to find that she was as embarrassed as I was about meeting in person after her piece. We had a good laugh about it. Kindling the press’s interest unsheathed a double-edged sword, as we will see later, but it was by and large a helpful part of my mission.

With the currency more stable, attention could now shift to other reforms. These reforms were often discussed threadbare in the Senior Management Committee of the Reserve Bank, where groups made presentations on proposed directions, and the entire senior staff consisting of the Governor, Deputy Governors, and Executive Directors debated the issues. A variety of